

INDIAN AUTOMOBILES • TWO-WHEELERS • INDUSTRY

Revolution, Then Restoration

The advantages that decide Indian two-wheelers have always been structural — distribution, service, cost at scale, brand and the ownership of a category. None of them depend on the powertrain. The electric era arrived looking like an upheaval. It is reverting to the incumbent order.

RATING SUMMARY — COVERED TWO-WHEELER OEMs

Company	Rating	Structural stance	The one line that matters
Bajaj Auto	Outperform	Best-positioned of the four	Electric #2, an ICE and export cash engine to fund the transition indefinitely, and premium optionality via Triumph and KTM.
TVS Motor	Market-Perform	Best business, richly priced	The finest execution in the industry and the electric leader — but the quality is already in the valuation.
Eicher Motors	Market-Perform	Best brand, transition to prove	The most durable brand in the industry, built around a category electric has not yet learned to sell.
Hero MotoCorp	Market-Perform	The hardest hand	A cost-at-scale moat over a shrinking entry segment, share leaking to Honda, and late and sub-scale in electric.

WHAT WE THINK — IN EIGHT LINES

- Σ **The advantages that win in Indian two-wheelers are structural, and none depend on the powertrain.** Distribution reach, service density, cost at scale, brand and category ownership, balance-sheet endurance — this bundle, the franchise, is the through-line of forty years.
- Σ **No powertrain transition in forty years has reset the order.** Two-stroke to four-stroke, emission norm to emission norm, carburettor to injection — each consolidated the strong and killed the weak. The leaders going in led coming out.
- Σ **The electric era looked like the exception and is proving the rule.** The pioneers led on things that were never moats — subsidy, imports, price, novelty — and collapsed. Incumbents have gone from ~34% to over 60% in two years on the old structural assets. A revolution turning into a restoration.
- Σ **Product matters, but it competes inside the structure, not against it.** A stronger product shifts share within a technology era — Honda's rise is the clearest case — yet it has never let a newcomer overturn the order, and it will not in electric.
- Σ **The only durable new moat anyone has built is a category they created and controlled** — Royal Enfield, Pulsar, Splendor, Activa. Breaking into an established category is close to a losing bet: fewer than one in ten launches succeeds.
- Σ **The one genuine break from history is Ather** — the first start-up to build a brand that survived incumbent entry. In electric, start-ups can still win on brand. They can no longer win on scale.
- Σ **The battery cell is the only genuinely new structural variable**, and its capital intensity favours the deepest balance sheets — reinforcing the incumbent order rather than overturning it.
- Σ **Ratings.** Structure favours TVS and Bajaj, respects Eicher's brand while flagging the part of its moat electric puts at risk, and leaves Hero the hardest hand. Bajaj Outperform; TVS, Eicher and Hero Market-Perform.

EXECUTIVE SUMMARY

The electric two-wheeler market arrived looking like a revolution: new companies, new technology, a market leader nobody had heard of five years ago. Every previous technology shift in India ended with the old leaders still on top. Is electric the exception — or is it about to prove the rule?

Our answer is that electric is proving the rule, and the reason is the organising idea of this note. The advantages that decide who wins in Indian two-wheelers have always been structural — the dealer in the small town, the mechanic who can fix the bike by evening, the cost that comes only with scale, the financier at the counter, the brand a family trusts, the balance sheet that survives a bad year. None of these has anything to do with the powertrain. That is why no change of engine architecture in forty years has reset the order, and it is why the electric 'revolution' is reverting to the incumbents who own those assets.

Look back and the pattern is relentless. Two-stroke gave way to four-stroke, one emission norm to the next, the carburettor to fuel injection — and each time the leaders going in were the leaders coming out. These transitions did not reshuffle the field; they raised the cost of staying in it and quietly killed the players who could not pay. The technology changed. The structure did not.

None of this means the product is irrelevant, and we should say so plainly. A better, more refined product does win share — Honda climbed from almost nothing to a quarter of the market on the strength of smoother, more durable commuter engines. But that contest plays out inside the structure, not against it. It moved share from one incumbent to another over fifteen years; it did not let a newcomer break in, and even now it has not toppled the leader. Product decides who gains within the order. Structure decides who survives a change of powertrain. It is the second question this note is about.

The electric market has already lived this out at high speed. A first wave built on subsidy and imports held half the market and then collapsed when the subsidy rules were enforced. Ola scaled faster than any two-wheeler company in history — on price and subsidy — and then broke on the oldest rule in the industry: where the vehicle is an income-earning asset, service is the product, and Ola could not service what it sold. It has fallen from more than a third of the market to under six per cent. None of these pioneers led on a structural advantage. They led on things that were always temporary.

Then the incumbents walked back in — not with a better motor, but with the franchise: thousands of dealers and service points, trusted brands, ICE profits to fund electric losses, and the depth to source and eventually build cells. In about two years they went from a third of the electric market to more than sixty per cent. This is not a revolution any more. It is a restoration.

There is one true exception, and it is instructive rather than threatening. Ather did not out-scale or out-engineer the incumbents; it built a premium brand and a loyal community that survived their arrival, and grew even as Ola fell apart. It is the first start-up in the industry's history to manage it. That fits the deepest lesson of the combustion era: the only durable new moat anyone ever built was a category they created and owned — Royal Enfield, the Pulsar, the Splendor, the Activa. In electric, a newcomer can still build a brand. What no newcomer can build is the incumbents' scale and distribution.

We hold this view for the base case and the next several years; the one credible route to a different outcome is the battery, where a genuine cost or technology break could rewrite the rules of entry. We rate Bajaj Auto Outperform, and TVS, Eicher and Hero MotoCorp Market-Perform. Structure favours TVS and Bajaj, respects Eicher's brand while flagging the part of its moat electric puts at risk, and leaves Hero the hardest hand to

play.

INVESTMENT CONCLUSION

Own the structural advantages that survive a change of powertrain — and be paid to wait while the electric market restores the old order.

One test settles the ranking. When the powertrain changes, the winners are the companies whose advantage is structural — distribution, service, cost at scale, brand, a fundable balance sheet — rather than tied to the combustion engine or to a passing condition. Judge the four covered names against it and the order is clear.

Bajaj Auto — Outperform.

Bajaj passes most completely. It is number two in electric scooters with the Chetak, a name it did not have to build, resting on an ICE motorcycle, three-wheeler and export business that can fund electric losses for as long as they last. It owns the clearest premium optionality in the group through Triumph and KTM. Its advantages are structural and travel intact into electric. **Key reason:** the deepest funded runway plus real electric traction. **Key risk:** export cyclicalities and a value-skewed domestic mix. **Horizon:** high conviction over two to three years.

TVS Motor — Market-Perform.

TVS is the best-run two-wheeler company in India and the current electric leader, and its edge — execution, distribution, a balanced portfolio — is exactly the kind that survives the transition. If we rated businesses rather than shares it would top the list. We hold at Market-Perform for one honest reason: the quality is already in the price. **Key risk:** valuation leaves little room for disappointment. **Horizon:** we would add on any de-rating that leaves its electric leadership intact.

Eicher Motors (Royal Enfield) — Market-Perform.

Eicher owns the most durable brand in the industry and the best margins from it. Buy the moat. But be precise about the risk, which is structural: its identity is tied to a category it built around the combustion engine, a credible premium challenge is finally forming, and its electric answer is unproven — part of what buyers pay for, the character and sound, does not transfer for free. The brand and community survive; the transition has to be earned. **Key reason:** a brand two decades in the making. **Key risk:** re-creating desirability in electric against a rising premium challenge. **Horizon:** the moat is safe for years; the electric question is a 2027-onward watch.

Hero MotoCorp — Market-Perform.

Hero's cost-at-scale advantage is genuine, and we credit it plainly. But it guards the entry segment that premiumisation is hollowing out, while Honda takes its executive-commuter share, and in electric the cost equation is reset by the battery cell, where Hero inherits no edge. Its best electric exposure may be its stake in Ather. **Key reason for caution:** a real moat on shrinking ground that does not travel to cells. **Key risk to our view:** a genuine premium re-acceleration, or Vida reaching scale. **Horizon:** we need evidence before upgrading.

The trade, in one line.

Own Bajaj for the funded transition, respect TVS and wait for a better entry, hold Eicher for a brand you cannot rebuild while it earns its electric future, and require proof from Hero. The companies that won on structure will win again — and the electric market is already handing it back to them.

CHAPTER 1

Competitive Advantage in Indian Two-Wheelers Has Always Been Structural — and Structure Does Not Care About the Powertrain

Start with the fact that should settle the electric debate before it begins. Every time the technology changed in India, the company that led before the change led after it. Not once in forty years did a shift of powertrain, on its own, unseat the market leader. That is not luck. It tells you where the moat actually sits — and it is not under the tank.

What buyers are really paying for.

A two-wheeler in India is rarely a toy. For most owners it is how they get to work, carry goods or run a small business. That single fact shapes everything. The buyer does not choose the cleverest engine; they choose the bike the local dealer stocks, the one the neighbourhood mechanic can fix by evening, the one the financier will lend against, the one priced within reach because someone builds it at scale, and the badge their family already trusts. Distribution, service, cost, finance and brand — the franchise — is slow to build and hard to copy. An engine specification is neither.

The natural experiment: what happened when the technology walked out of the door.

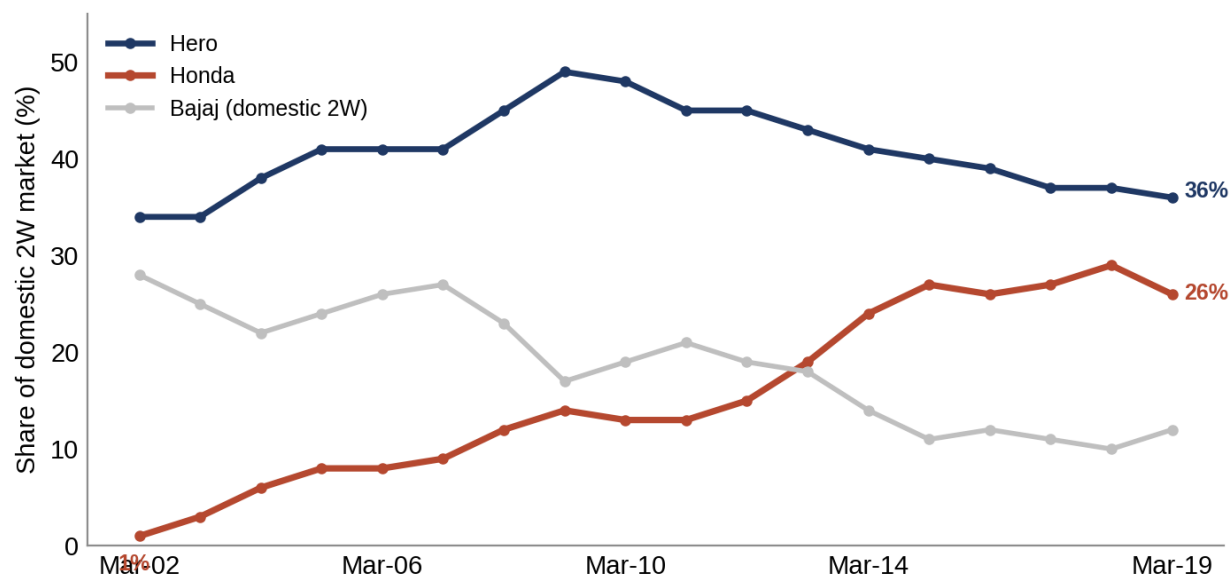
We rarely get clean experiments in industry analysis. Hero Honda is one. For twenty-six years it dominated Indian motorcycles, and the popular story credited Honda's engines. In December 2010 that story was tested. Honda sold out, walked away and took the technology, the research and the engineering talent with it. By common sense, Hero should have faded. It did not. It held roughly forty per cent of the market for the next decade — by its own admission with almost no engineering capability of its own — because it kept the dealer network, the service reach and the Splendor and Passion brands. The technology was the ticket to enter. The franchise was the moat that kept you there.

A necessary qualification: the product still matters — it just competes inside the structure.

We are not arguing that the machine is irrelevant. A better, more refined product genuinely wins share. Honda is the proof: from about one per cent of the market in 2002 it climbed to roughly a quarter by 2019, largely on smoother, more durable commuter engines and the distribution it built to sell them. But look at the shape of that win. It took fifteen years. It moved share from one incumbent to another. It did not let a single newcomer break in, and it has still not taken the top slot. The better product decides who gains within the order; the structure decides who survives a change of powertrain. Keep the two apart and the whole industry becomes legible; confuse them and every segment reads wrong.

Exhibit 1.

Share moves within the order, but the order holds: over seventeen years the incumbents traded share — Honda gained, Hero eased, Bajaj stepped back by choice — yet no newcomer broke in and the leader stayed the leader.



Source: SIAM, Bernstein analysis (Garre, 2019). Domestic 2W market share, to FY19. Bajaj's decline reflects its deliberate pivot toward premium and exports. See data note.

CHAPTER 2

Every Segment Tells the Same Story: Leaders Fall When They Abandon Ground, Not When the Technology Changes

Look across the segments and one pattern repeats. Durable leadership came from a structural advantage — cost at scale, distribution, or an owned brand. Lost leadership almost always came from a company walking away from ground it held, or from resting on an advantage that was never really its own. Share moved when a rival brought a better product, but it moved slowly, and rarely all the way.

Entry motorcycles: a cost moat over shrinking ground.

Hero has led the roughly 100cc entry segment for a quarter of a century, and the reason is cost. Nobody matches Hero's price at Hero's volume — an advantage that comes from scale, frugal engineering, supplier leverage and the network that sells and services the bikes cheaply across rural India. It is a real moat. The trouble is the ground it guards: the entry segment is flat to shrinking, and each tightening of emission rules adds a few thousand rupees to the cheapest bikes, hitting exactly the buyers least able to pay.

Executive and 125cc commuters: where a stronger product is grinding share away.

The 110-125cc band is the growing heart of commuting, and it is where the 2010 divorce still plays out. Honda's Shine has gained share year after year on a smoother, more refined engine, and the band grew from roughly a seventh to nearly a third of the motorcycle mix in six years. But the gain came over more than a decade and rode on the distribution Honda built after the split. It is share moving between two incumbents inside a stable structure — not a newcomer breaking in.

Sports commuters: a duopoly of two invented brands.

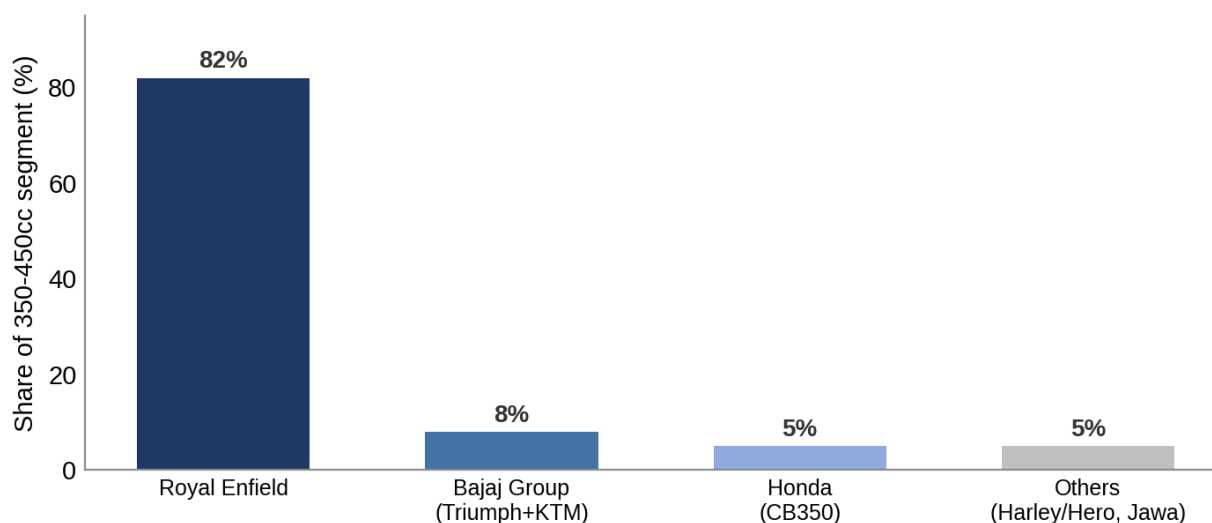
The 150-250cc segment is a duopoly of two franchises their makers built from nothing — the Bajaj Pulsar and the TVS Apache — resting on brand, racing pedigree and a relentless cadence of new models. Yamaha, which once fought here on volume, retreated to a narrow premium niche. The durable positions were created, then defended. The lesson repeats.

Premium motorcycles: the most concentrated ground in the industry.

Nothing in Indian two-wheelers is as concentrated as the 350cc-and-up segment, where a single company has held the overwhelming majority for two decades against a parade of funded challengers. It is the clearest brand moat in the industry — Bajaj-Triumph, Hero-Harley, Honda, Jawa and others have thrown product and capital at it and barely moved the share.

Exhibit 2.

Royal Enfield's premium fortress has barely been dented despite a wave of funded challengers — the clearest structural brand moat in the industry.



Source: industry registration data and company disclosures; segment shares indicative and move month to month. See data note.

Scooters: the segment Bajaj handed to Honda.

The most instructive error in the industry is Bajaj's exit from scooters in the mid-2000s. Honda's Activa had redefined the category as a gearless family vehicle, and Bajaj — the original scooter champion — chose to leave rather than fight. Scooters then grew from roughly a seventh of the market to a record share of more than a third. Bajaj did not lose scooters to a better product or a new technology. It gave the segment away by abandoning it. Leaders fall when they leave ground, not when the powertrain moves.

Where leadership came from, and whether it lasted

Segment	Leader	Source of the position	Durable, and why
Entry (~100cc)	Hero	Cost at scale; nobody matches its price at its volume	Durable moat, but over shrinking ground
Executive / 125cc	Hero, Honda rising	Honda gaining share on a more refined product, sold through new distribution	A slow migration within the incumbent order
150-250cc	Bajaj & TVS	Two invented franchises defended by constant new product	Durable; created, not captured
Premium (350cc+)	Royal Enfield	Created the category; brand and community	Durable; the clearest brand moat
Scooters	Honda	Bajaj created then abandoned the category	Lost by exit, not by technology

Source: Bernstein synthesis of SIAM/FADA volumes and company disclosures. Shares indicative.

CHAPTER 3

Technology Transitions Consolidate the Strong; They Do Not Reset the Field

Here is the claim, stated so it can be argued with: no major technology transition in Indian two-wheelers has reset competitive positions. Each has done the opposite — raised the cost and complexity of staying in the game, killed the weak, and left the strong stronger. If that is true of the last five transitions, the burden of proof falls on anyone claiming the sixth, electric, will behave differently.

The pattern, transition by transition.

The move from two-stroke to four-stroke is often called a great reshuffling. It was not. It extended the leader's efficiency advantage and finished off the two-stroke specialists. Each tightening of emission norms, to BS-VI in 2020, added cost that only scale players absorbed comfortably. The shift from carburettors to fuel injection arrived with those norms and changed no one's ranking. Features and electronics reinforced the brand leaders. Four transitions, four consolidations, zero resets.

Transition	Roughly when	Did leadership reset?	What actually decided it
2-stroke → 4-stroke	1990s-2005	No	The leader's efficiency advantage widened; 2-stroke specialists faded
Emission norms (to BS-VI)	2000 → 2020	No	Each step added cost that favoured scale and squeezed the marginal
Carburettor → fuel injection	c. 2020	No	Incumbents absorbed the cost; no change in ranking
Electronics & features	2010s	No	Reinforced the brand leaders (Pulsar, Apache, Activa)
Electrification	2020-	Partly, then reversing	First wave reset to zero; incumbents now retaking the mass market

Why it works this way — and why electric is the interesting case.

These were sustaining changes, not disruptive ones. They made a better version of the same product, sold through the same dealers, to the same buyers, serviced by the same mechanics. An incumbent with a franchise pays the bill and carries on. A disruptive change brings a new kind of product, new buyers, new skills and new entrants who do not need the old network. Electric is the first Indian two-wheeler transition with genuinely disruptive features — which is why the first wave did reset the field. The twist, developed next, is that the mass-market part of electric is turning out to be sustaining after all.

CHAPTER 4

Consolidation Has One Recurring Rule: Own Your Franchise, or Die

Indian two-wheelers consolidated from a dozen serious players in the 1990s to five volume makers plus one premium specialist, over roughly two decades. The process obeyed one rule. The companies that owned their distribution and built their own capability survived; the companies that depended on a foreign partner for both product and volume did not.

The joint-venture wave and how it broke.

The 1980s licensing era paired Indian firms with Japanese partners: Hero with Honda, TVS with Suzuki, Escorts with Yamaha, Kinetic with Honda, LML with Piaggio. Almost every marriage dissolved within fifteen to twenty-six years, for the same reason each time. The foreign partner wanted control and direct access to the market; the Indian partner wanted autonomy and the freedom to export. When the split came, what mattered was who kept the customer.

TVS bought out Suzuki and thrived alone, going on to win a Deming Prize for quality. Hero kept its network and held its share. Bajaj had always owned its distribution and never depended on a partner. Those three survived. The casualties tell the other half: LML and Kinetic, dependent on their partners for the crucial technology and much of their credibility, could not stand alone. LML drifted into insolvency; Kinetic was sold to Mahindra, whose own effort was later wound down. Suzuki and Yamaha left and re-entered on their own terms, as niche players.

The rule that keeps repeating.

A franchise is what lets a company survive a shock — the loss of a partner, a technology shift, a bad cycle. That is the same rule that decided every transition, seen from another angle. Keep it in mind for electric, where a new set of firms is once again dependent on others for the crucial component. This time the partner is not Japanese. It is the battery cell supply chain.

CHAPTER 5

The Only Durable New Moat Is a Category You Create and Control

If transitions do not reset the field, how does anyone new ever build a lasting advantage? The historical answer is narrow and precise: by creating a category and controlling it. Every enduring franchise in the industry was built this way, and the evidence that it is hard is stark — fewer than one in ten new launches over the last decade succeeded, and the average successful model is now over fifteen years old. Breaking into an established category is close to a losing bet.

The four franchises that lasted.

Royal Enfield is the purest example. In 2000 it was a near-dead division making a few thousand leaky, unreliable bikes a month. Its new leadership concentrated the whole group behind it, fixed the engineering, and refused to fight the commuter makers on price and efficiency. Instead it defined a category it could own: aspirational, heritage leisure motorcycling, built around a feel no rival could copy. Two decades later it holds the overwhelming majority of its segment and the best margins in the industry. The Bajaj Pulsar did the same for affordable performance, the Hero Splendor for reliable, frugal commuting, and the Honda Activa for the gearless family scooter. Each created demand that did not exist, then defended it for fifteen to twenty-five years.

Why some advantages endured and others did not.

The difference is what the moat rested on. Brand, distribution and cost at scale are slow to build and slow to erode. When the advantage rested instead on a passing condition — a supply shortage, a subsidy, an imported technology someone else controlled — it evaporated when the condition changed. LML led scooters on a licence-era advantage and lost it. Bajaj created the mass geared-scooter category and abandoned it. The first electric brands led on subsidy and imports and disappeared when the rules changed. Category creation confers durability only when the moat is structural. Creation on top of a temporary condition confers nothing.

CHAPTER 6

The Electric Market Has Already Run the Old Pattern Once — at High Speed

The most useful thing about the electric two-wheeler market is that it has compressed forty years of history into about five. It has had its subsidy-era boom, its collapse, and now its consolidation — the same arc, played fast. Watching it in fast forward tells you where it is heading.

Act one: the subsidy brands that were never really in the business.

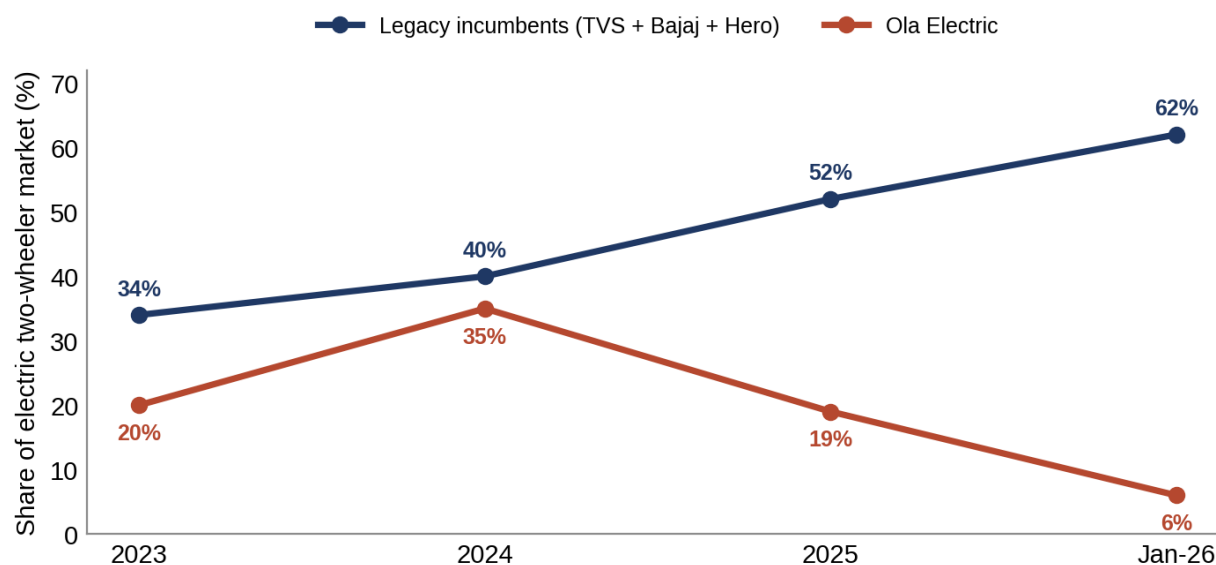
The first electric leaders — brands built on imported kits, bought-in batteries and generous subsidies — briefly held more than half the market. Their model was assembly and trading, not manufacturing, and it carried no franchise at all. When the government enforced the local-content rules attached to the subsidy and clawed money back from those in breach, the first-wave leaders fell to almost nothing within a year or two. An advantage built on a temporary condition disappeared with the condition — the oldest lesson in the book.

Act two: Ola scaled fastest, then broke on the oldest rule.

Ola Electric did something genuinely new. It scaled faster than any two-wheeler company in Indian history, reached more than a third of the electric market, and set out to build its own cells — a real attempt at a manufacturing moat. But it neglected the one thing this industry never forgives. Where the vehicle is an income-earning asset, after-sales service is not a support function; it is the product. Complaints mounted, regulators took notice, and the service network could not keep pace with sales. Ola has since fallen from more than a third of the market to under six per cent. It broke the rule that killed every under-serviced challenger before it.

Exhibit 3.

The crossing: as the pioneer collapsed on service, the incumbents used their old franchise to retake the market. A revolution turning into a restoration.



Source: Vahan registration data and industry estimates; figures indicative of trajectory and subject to monthly volatility. See data note.

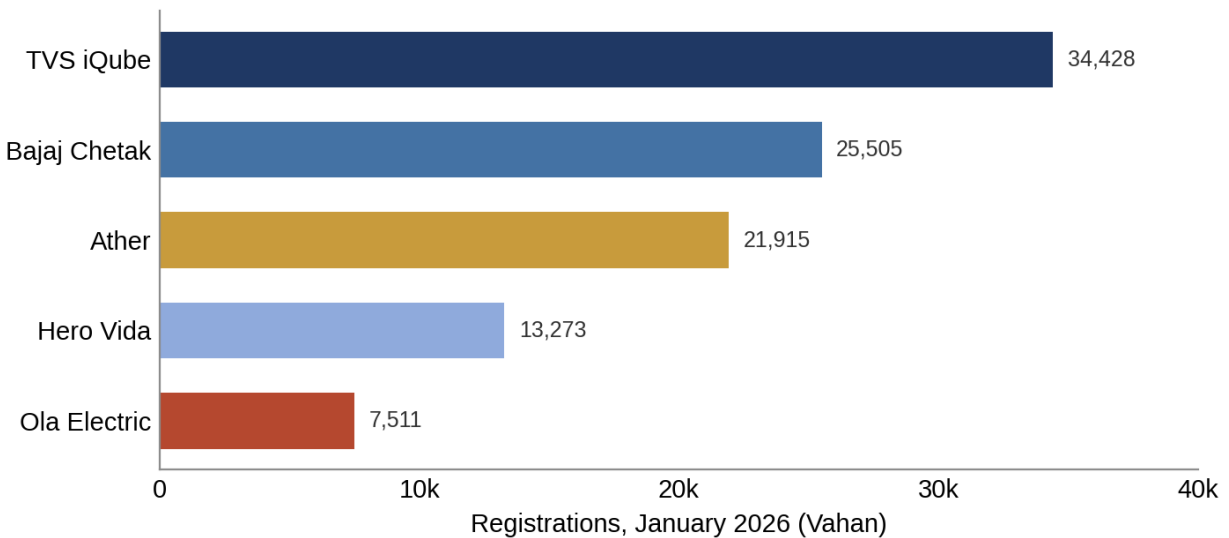
Act three: the incumbents walked back in — on structure, not on a better machine.

The legacy makers were slow, and for a while looked like bystanders. Then they entered the mainstream wave with exactly the assets that won every previous transition: thousands of dealers and service points,

trusted brands, ICE profits to fund electric losses, and supply-chain depth. In about two years they went from roughly a third of the electric market to more than sixty per cent. Note what they did not win on — a better motor. Electric motors are broadly similar across makers; the incumbents won on the franchise. TVS and Bajaj now lead; Hero, though later, is climbing.

Exhibit 4.

A single recent month shows the restoration in place: legacy OEMs hold the top of the table, with the one surviving brand-led startup among them.



Source: Vahan registrations, January 2026; a single month, subject to volatility, used to show structure rather than fix precise share. See data note.

The exception that proves the rule: Ather.

One start-up has broken the script. Ather did not try to out-scale the incumbents; it built a premium brand, its own software and charging network, and a community loyal enough to survive the incumbents' arrival. Its sales grew more than seventy per cent in 2025 while Ola fell apart. Ather is not a scale play; it is a brand play — the one kind of moat this industry's history says a newcomer can still build.

CHAPTER 7

In Electric, Separate the Temporary Advantages from the Structural Ones

The practical question for an investor is not who leads today but which of today's advantages will still be advantages in ten years. History gives a sharp test: temporary advantages rest on passing conditions; structural ones rest on assets that are slow to build. Apply it to electric and the picture clarifies.

Likely temporary — enjoy it while it lasts	Likely structural — this is what to own
Being early to market	Depth of distribution and service — the moat that won every prior transition, transferred intact
Subsidy capture (the main 2W incentive ends March 2026)	An ICE business that funds electric losses for years — start-ups cannot match this
Novelty features — touchscreens, connected apps	Brand trust, resale value and an owned category
Aggressive price leadership	Manufacturing scale and unit cost
A head start on software	Cell sourcing and, eventually, local cell manufacturing

The battery cell is the only genuinely new variable — and it favours the incumbents.

Everything in that table has a combustion-era parallel except one: the battery cell. Cells are roughly two-fifths of an electric vehicle's cost, and India has imported most of them. This is the one input with no historical analogue and, in theory, the place a newcomer could build a cost moat the incumbents lack — the way Hero's cost moat works in petrol. In practice it does the opposite. Building cells is punishingly capital-intensive, which favours the deepest balance sheets, and the government's cell incentives are flowing to exactly those players. The one truly new source of advantage in electric is likely to reinforce the old hierarchy, not overturn it.

One structural risk sits inside a brand, not a balance sheet.

There is a single exception worth naming, because it falls on a covered name. Part of Royal Enfield's moat is the character of the combustion engine itself — the sound and feel its buyers pay for. That is the one structural advantage in the industry that a change of powertrain genuinely threatens, because an electric motor cannot reproduce it for free. The brand and community survive; the character has to be re-created. We return to it in the investment section.

CHAPTER 8

Three Ways the Next Fifteen Years Could Go

We weigh three futures. Each answers the two questions that matter: does the market consolidate into a few players, and can anyone build a lasting moat in electric?

Base case — an incumbent-led oligopoly with one surviving premium start-up. (Most likely.)

The mass electric market settles into four or five players that mirror the combustion order: TVS, Bajaj, Hero and the Japanese makers, with Ather surviving as the premium brand. Structure decides it — distribution, service, balance sheet and, increasingly, cell sourcing. Different brands hold different ground: the incumbents own value and mainstream, Ather and perhaps a premium electric entrant own the top. Ola survives, if at all, as a diminished niche or is absorbed for its cell technology. This is the old pattern repeating, and it is where the evidence points.

Bull case for incumbents — a full restoration.

The end of subsidy in 2026 clears out the remaining sub-scale players, and a shake-out in cell manufacturing leaves only the incumbent-backed plants standing. TVS and Bajaj rebuild their duopoly in electric scooters; Hero recovers through Vida and its Ather stake; the unprofitable start-ups exit. As volumes build past cost parity, electric losses turn to profit and the incumbents look as they did in combustion, only larger.

Bear case for incumbents — disruption finally breaks the pattern.

We take this seriously because the first wave showed it is possible. A battery breakthrough, a swapping network that lowers the entry price and builds its own lock-in, or a very well-funded entrant builds a genuinely new value network the incumbents' distribution cannot neutralise. In this world electric behaves like true disruption, and a newcomer builds the scale moat Ola reached for and dropped. We think it less likely than the base case, but the battery layer is the credible route to it, and it is the risk that would most damage the incumbent thesis.

So can anyone build a Royal Enfield or a Splendor in electric?

The sharpest conclusion in the note. A brand moat — the Royal Enfield kind — is achievable, and Ather has half-built one. A scale-and-distribution moat — the Splendor kind — is not achievable for a newcomer, because it takes decades and thousands of service points the incumbents already own. In electric, start-ups can win on brand but not on scale, and incumbents win on structure but must earn the desirability the category used to supply. Position accordingly.

CHAPTER 9

Where the Common Premises Need Correcting

A framework is only as good as the assumptions under it, so we have stress-tested the ones this analysis rests on — including several that are widely repeated and partly wrong. Four are worth correcting explicitly.

“If structure is everything, the product must not matter.” Not so — product competes inside the structure.

The tempting over-simplification of this note's own argument is that distribution is everything and the machine is irrelevant. That does not survive Honda, which took a quarter of the market on a more refined product. The precise claim is narrower: the powertrain does not reset leadership in a transition, because the franchise absorbs the change — but a better product still wins share continuously within a technology era. Product decides who gains within the order; structure decides who survives a change of order. Conflate the two and you will mis-read every segment.

“Incumbents always win technology transitions.” Mostly true here — but not automatic.

Incumbents won every combustion-era transition, but the first electric wave proves a shift can reset leadership when the value network genuinely changes and the incumbents are absent. For a couple of years the legacy makers were bystanders in electric. They won the market back only because the pioneers destroyed themselves on service and local-content rules, and because they had the balance sheets to enter late and still win. Had Ola executed on service, the story could read differently. The correct version: incumbents win transitions that are sustaining, and can lose those that are truly disruptive. The Indian electric mass market turned out to be sustaining.

“Category creators always keep their moats.” Largely true, with one sharp caveat.

Royal Enfield, Pulsar, Splendor and Activa all held leadership for two decades or more. But Bajaj created the mass geared-scooter category and abandoned it — a self-inflicted loss. And the first electric brands created the category and lost it because their moat rested on subsidy and imports. Creation confers durability only when the moat is structural — and even a structural moat can carry a powertrain-linked component, as Royal Enfield's does, that a transition puts at risk.

“The two-stroke-to-four-stroke shift reset the industry.” It did the opposite.

This transition is often cited as a great reshuffling. It was a consolidation. It eliminated the two-stroke specialists and widened the lead of the strongest incumbent. Treating it as a reset gets the single most relevant historical analogy for electric backwards.

CHAPTER 10

Investment Implications: Back the Structure, Discount the Rest

The framework now turns into positioning. The rule: prefer companies whose advantage is structural — cost at scale, distribution, service, brand — over those whose edge is a passing condition or a category the new powertrain has yet to learn to sell. This is a forward-looking risk assessment, and each view comes with the evidence that would change it.

Company	Rating	The structural read	What would change our view
Bajaj Auto	Outperform	Electric #2 on a household brand; ICE, three-wheeler and export cash to fund the transition; premium optionality in Triumph and KTM. Structure-led	Losing the #2 electric slot for several quarters, or the premium bets stalling
TVS Motor	Market-Perform	Best-run business, electric leader; edge is structural and travels — but valuation already reflects it	A de-rating without loss of electric leadership would make us constructive
Eicher Motors	Market-Perform	The most durable brand and best margins — but the one moat with a combustion-linked component to re-earn in electric	Its 350cc grip slipping, a weak electric debut, or challengers taking real premium share
Hero MotoCorp	Market-Perform	A cost-at-scale moat over a shrinking entry segment, share leaking to Honda, late and sub-scale in electric	A real premium re-acceleration, or Vida reaching scale with better economics

Bajaj Auto — our preferred way to own the transition.

Bajaj has the funded runway the others lack, real electric traction with a brand it did not have to build, and the clearest premium optionality in the group. Its edge is structural, and structure travels into electric. It is also cheaper than TVS. That is why it is our only Outperform of the four.

TVS Motor — the best business, held back only by its price.

Market-Perform is not a criticism of the company. TVS is the finest execution machine in the industry and the electric leader, and its edge is the structural kind that survives the transition. The rating reflects valuation, not doubt. We would turn more constructive on any pullback that leaves its electric leadership intact.

Eicher Motors — buy the moat, price the transition risk.

Own Eicher for a brand that cannot be easily rebuilt and margins no one else earns. But be precise about the risk, which is structural: its identity is tied to a category it built around the combustion engine, a credible premium challenge is finally forming, and its electric answer is unproven. The brand and community survive the transition; the desirability the engine supplied has to be re-created. The moat is safe for years. The electric question is the one to monitor from about 2027, without pre-empting it.

Hero MotoCorp — a real cost moat on the wrong ground.

Hero's cost-at-scale advantage is genuine, and we credit it plainly. But it guards the entry segment that premiumisation is hollowing out, while Honda takes its executive-commuter share, and in electric the cost equation is reset by the battery cell, where Hero inherits no edge. Its best electric exposure may be its stake in

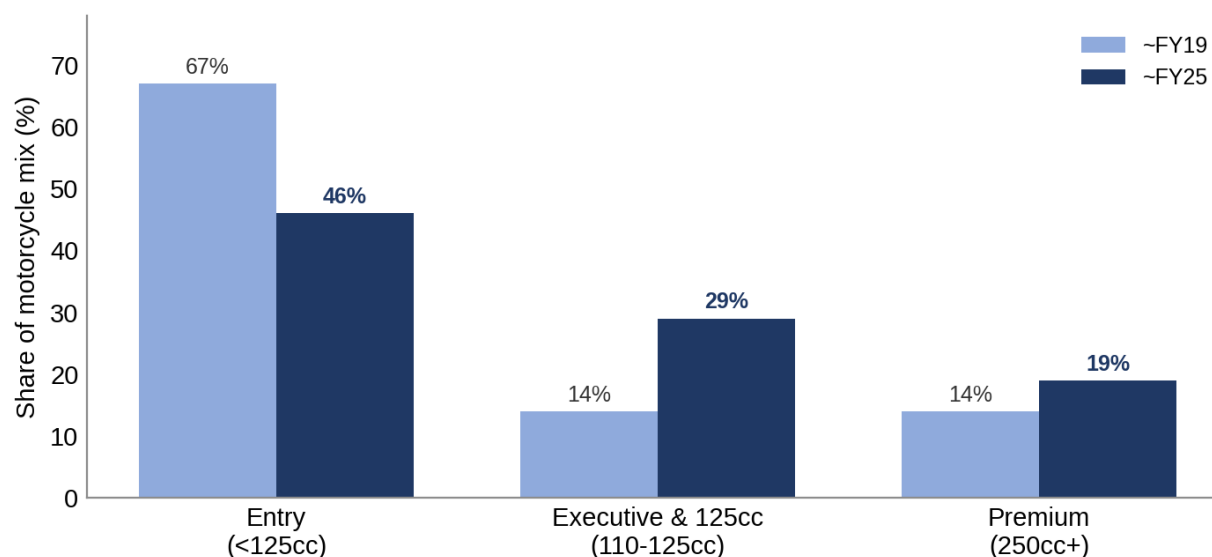
Ather. We need evidence — a genuine premium re-acceleration or a scaled, better-economics Vida — before we would upgrade.

The four things to watch, in order of importance.

- Σ **Service and quality, not headline share.** The Ola lesson. Complaint volumes, service-point density and resale values lead share by a year.
- Σ **Cell localisation.** The one genuinely new structural variable, and the one that decides whether cost advantage travels into electric. Track who brings domestic capacity online, and when.
- Σ **The first post-subsidy months (after March 2026).** The cleanest read yet on how much electric demand is structural rather than subsidised. A sharp drop says still propped up; resilience says parity is near.
- Σ **Premiumisation drift.** Every quarter the entry segment shrinks is a quarter Hero's cost moat guards less ground and the premium franchises of TVS, Bajaj and Royal Enfield gain.

Exhibit 5.

Premiumisation is the slow tide under all of this: the entry segment is shrinking while executive and premium bikes grow — a headwind for Hero and a tailwind for the premium franchises.



Source: Bernstein synthesis of SIAM/FADA data; segment definitions vary and figures are indicative. See data note.

DATA NOTE AND CAVEATS

Hard data versus channel intelligence. Volume and share figures from Vahan registrations, SIAM, FADA and company filings are hard data. Statements about relationships, intentions and internal budgeting are softer channel intelligence and are flagged as such. We keep the two separate on purpose.

The Honda share history (Exhibit 1) is drawn from SIAM data as presented in prior Bernstein work (Garre, 2019) and runs to FY19; it is used to make the structural point that share moves within the incumbent order without resetting it, not to describe the current month.

Monthly electric shares are volatile. The top two electric positions have changed hands repeatedly between Bajaj and TVS, and single-month figures can move several points. Where we cite a single month, it illustrates structure, not precise share.

Forward-looking items are estimates. Scenario probabilities, cost-parity timing, cell-capacity targets and penetration paths are projections, not established facts. Several companies' own targets have been revised repeatedly and should be treated with caution.

The central thesis carries genuine uncertainty. The claim that electric is a sustaining transition the incumbents will win rests on about two years of incumbent recovery. It is, in our judgement, the most probable path — but the battery and swapping layers remain credible routes to a different outcome. This is a weighing of probabilities, not a certainty.

Some historical figures are drawn from retrospectives and business journalism rather than primary filings, and a few dates are cited as ranges where sources differ. Exhibit shares are indicative and rounded.

Not investment advice. This note is a structural framework prepared for institutional investors. Ratings reflect the covering analyst's house framework. It is not personalised investment advice, and readers should form their own view.